

Ref No. Novigo/India/0002/2021-22

Date: - 30th June 2021

<u>Prepared by</u>	<u>Reviewed by</u>	<u>Approved by</u>
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Subject: - Reimbursement of Internet & mobile Allowance

Scope: - This Internet Allowance Policy applies to all employees of Novigo Solutions who have access to computers and the Internet to be used in the performance of their office work. Use of the Internet & mobile Allowance by employees of Novigo Solutions is permitted and encouraged where such use supports the goals and objectives of the business. All employees of Novigo will be covered under this policy.

This policy will be strictly applicable during the period of working from home.

Effective Date :- The new reimbursement of Internet & mobile allowance will be applicable from 1st July 2021

Salary Structure

Salary Structure Basic & DA More than Rs.21000/-

Particulars	Amount	Remarks	IT Section
Basic	25% on fixed Gross amount		
DA	25% on fixed Gross amount		
HRA	40% of Basic & DA		10(13A)
Leave Travel Concession or Assistance	One month Basic	The exemption shall be limited to fare for going anywhere in India along with family twice in a block of four years	10(5)
Children Education Allowance	Rs.200/-	Rs.100 per child & maximum 2 children per month	10(14)
Hostel Expenditure Allowance	Rs.600/-	Rs.300 per child & maximum 2 children per month	10(14)
Reimbursement of Internet & Mobile Allowance	Rs.500		
Special Allowance	Remaining Balance of Fixed Gross		

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Statutory Bonus	8.33% on Basic + DA		
Reimbursement of Internet & Mobile Allowance	Rs.500		
Special Allowance	Remaining Balance of Fixed Gross		

Process: -

a) Hose Rent Allowance:-

Least of the following is exempt:

- Actual HRA Received
- 40% of Salary (50%, if house situated in Mumbai, Calcutta, Delhi or Madras)
- Rent paid minus 10% of salary*

* Salary= Basic + DA (if part of retirement benefit) + Turnover based Commission

Note:

- Fully Taxable, if HRA is received by an employee who is living in his own house or if he does not pay any rent
- It is mandatory for employee to report PAN of the landlord to the employer if rent paid is more than Rs. 1,00,000 [Circular No. 08 /2013 dated 10th October, 2013]

**Rent Receipt to be submitted to Novigo Account team on or before 15th Jan of every year.

b) Leave Travel Concession or Assistance:-

Novigo provides LTA to employees to help them meet travel expenses incurred for travel with family to any place in India. Exemption from tax is only for an amount equal to the cost of travelling or one month Basic whichever is less, the shortest distance to the destination whether by air, rail or recognized public transport system.

*Family includes spouse, children and dependent brother/sister/parents. However, family doesn't include more than 2 children of an Individual born on or after 01-10-1998.

The exemption shall be limited to fare for going anywhere in India along with family twice in a block of four years:

- Exemption limit where journey is performed by Air - Air fare of economy class in the National Carrier by the shortest route or the amount spent, whichever is less

ii. Exemption limit where journey is performed by Rail - Air-conditioned first class rail fare by the shortest route or the amount spent, whichever is less

iii. Exemption limit if places of origin of journey and destination are connected by rail but the journey is performed by any other mode of transport - Air-conditioned first class rail fare by the shortest route or the amount spent, whichever is less

iv. Exemption limit where the places of origin of journey and destination are not connected by rail:

a. Where a recognized public transport system exists - First Class or deluxe class fare by the shortest route or the amount spent, whichever is less

b. Where no recognized public transport system exists - Air conditioned first class rail fare by shortest route or the amount spent, whichever is less

Notes:

i. Two journeys in a block of 4 calendar years is exempt

ii. Taxable only in case of Specified Employees*

(*The following employees are deemed as specified employees a) A Director b) An employee who has substantial interest (i.e. beneficial owner of equity shares carrying 20% or more voting power) in the employer-company)

** Employees need to submit supporting bills and documents to Novigo Accounts team on or before 15th of Jan month.

c) Children Education Allowance: -

Up to Rs. 100 per month per child up to a maximum of 2 children is exempt

** Employees need to submit School Fee receipts to Novigo Accounts team on or before 15th of Jan month.

d) Hostel Expenditure Allowance:-

Up to Rs. 300 per month per child up to a maximum of 2 children is exempt

** Employees need to submit Hostel Fee receipts to Novigo Accounts team on or before 15th of Jan month.

e) Reimbursement of Internet & Mobile Allowance of Rs.500/- Per month

1) Bill needs to be in employee name.

2) Maximum claim amount per month is Rs.500/- or Actual bill amount which ever is less.

** Employees need to submit Bills to Novigo Accounts team on or before 15th of Jan month for the Period from April to Dec and for Jan to Mar bills on or before 5th of April.

Note :-

If supporting receipts / bills documents not submitted as per the above said due date and allowance are not exempted and required additional tax liability amount will be deducted from Jan, Feb and Mar month salary and who ever resigned and in notice period the additional tax liability will be deducted from their settlement amount.

Approved By
Praveen Kumar Kalbhavi
Co-Founder – MD & CEO